

SS1 COMMERCE LESSON NOTES

FIRST TERM

1. Introduction Meaning of Commerce
2. History of Commerce
3. Meaning of Occupation
4. Production, Division of Labour, Specialization and Exchange I
5. Midterm examination
6. Production, Division of Labour, Specialization and Exchange II
7. Midterm break
8. Trade
9. Home Trade
10. Foreign Trade



WEEK 1 – INTRODUCTION MEANING OF COMMERCE

Commerce can simply be defined as all the activities involved in the distribution and exchange of goods and services. In other words, commerce is a branch of production which is concerned with the distribution, exchange of goods and services and all activities which assist or facilitate trade, e.g. banking, insurance, transportation, communication, tourism etc. It is the process of buying, selling and distributing goods and services.

SCOPE OF COMMERCE

The scope of commerce may be seen as embracing the totality of all activities which ensure the distribution and exchange of goods and services for the satisfaction of the people. In all ramifications, commerce embraces trade and the ancillaries or aids to trade. The scope of commerce can easily be illustrated by a diagram. It can therefore be said that the different activities engaged in by people in commercial Occupation include:

- Trading
- Transporting
- Warehousing
- Banking
- Insurance
- Advertising
- Communication
- Tourism

FUNCTIONS OF COMMERCE

1. Mass Production of goods and Services: Commerce facilitates mass production and thus people all over the world can enjoy goods and services produced both within and outside their countries.
2. Raising of Capital: It facilitates the raising of capital for individual needs and investment through the services of banks and other financial institutions.
3. Employment Opportunities: It offers employment opportunities to a large number of people such as traders, bankers, insurance brokers, etc.

4. Transport: It assists in moving people, raw materials and finished goods from production points to consumption points through transport.
5. Warehousing Functions: It facilitates the storage of goods until they are needed, thus bridging the gap between demand and supply in the market.

ELECTRONIC COMMERCE (e-commerce)

Electronic commerce, commonly known as e-commerce is defined as buying, selling and distribution of goods and services through electronic media/the internet.

FORMS OF E-COMMERCE

1. B2B (Business-to-business): companies doing business with each other such as manufacturers selling to distributors.
2. B2C (Business-to-consumer): Business selling to the general public typically through catalogues utilising shopping cart software.
3. C2B (Consumer-to-Business): A consumer posts his or her project with a set budget online and within hours, companies review the consumer's requirements and bid on the project. The consumer reviews the bids and selects the company that will complete the projects.
4. C2C (Consumer-to-consumer)

EVALUATION

1. Define commerce.
2. Mention the scope of commerce.
3. List and explain the importance of commerce.
4. Describe e-commerce

WEEK 2 – HISTORY OF COMMERCE

HISTORICAL BACKGROUND

In the olden days, people engaged in subsistence production. This means they were producing goods for themselves and their family. Later they started interacting with one another because it was difficult for them to meet their entire daily requirement. The system of exchanging goods for goods, called trade by barter then came into existence. This is the genesis of exchange and perhaps the beginning of commercial activities the world over. Trading activities were however limited to internal trade only. The first form of foreign trade in Nigeria was the Trans Sahara trade in which camels were used as means of transportation.

The development of caravan routes across the desert linked Nigeria with the North African Traders. The Arab merchants brought goods like salt, cowries, copper, cloth, books, etc. which were exchanged for kola nuts, slaves, gold, hides, etc. Important town like Kano, Borno, Zaria, Katsina played crucial role during this period. Afterwards, another contact was made with the Europeans and that actually boosted commercial activities in Nigeria. This started in the 15th century when the missionary came to Africa. The European traders brought weapons, books, cloths etc. and exchanged them for slaves and palm oil.

The initial commercial towns that served as important trading routes to the sea were Badagry, Bonny, Opobo and Calabar. King Jaja of Opobo played a great role in the development of commerce in Nigeria. After the abolition of slave trade by the British Government, the first breakthrough in commercial activities in Nigeria was the establishment of United African Company (UAC) and Royal Niger Company. By 1960, Nigeria had become a force to be reckoned with in the export of palm oil, cocoa, groundnut and later crude oil. Also, in 1960 the exploration of crude oil brought businessmen from all over the world to Nigeria.

FACTORS AFFECTING THE GROWTH OF COMMERCE

1. Inadequate capital
2. Poor communication system
3. Prevalence of fraudulent activities

4. Low level of education
5. Political instability

FACTORS THAT CONTRIBUTED TO THE GROWTH OF COMMERCE IN NIGERIA

1. Increase in population
2. Improvement in transport facilities
3. Development and improvement in warehouse
4. Improvement in means of communication
5. Development in financial institutions;

THE BARTER SYSTEM

Barter system Barter system or trade by barter is a direct exchange of goods for some quantity of another good without the use of money. For transactions to take place, there must be double coincidence of wants e.g. yam may be exchanged for cassava. A barter economy is an economy in which exchange is done without the use of money.

Difficulties of Barter system

Barter system has the following difficulties: -

1. Double coincidence of wants
2. Lack of common measure of value
3. Difficulty in storing value
4. Indivisibility of certain goods
5. Difficulty in making deferred payment

EVALUATION:

1. What is Barter system?
2. Trace the history of commerce in Nigeria.
3. What are the factors that adversely affect the growth of commerce in West Africa?

WEEK 3 – MEANING OF OCCUPATION

Occupation can be defined as an activity, profession or legal job engaged in by individuals for the purpose of earning a living. There are various kinds of occupation but they can be categorized into three (3)

1. Industrial occupation: These are activities which are concerned with obtaining raw materials and turning them into finished goods. Industry is usually divided into three (3) groups, these are: -

a. Extractive Occupation: - this involves all the activities of those who are engaged in primary production of extracting the gift of nature from the soil and sea. They produce raw materials to feed the manufacturing industry. Examples are miners, fishermen, farmers etc.

b. Manufacturing Occupation: this includes all those who are engaged in utilizing the raw materials of the extractive industry to produce finished goods like clothes, books, shoes etc.

Examples are textiles processing, food processing, electrical engineering, etc.

c. Constructive Occupation: it involves the activities of those who convert the product of the manufacturing sector into various uses. They assemble products into usable forms. Examples are: road construction, building construction, bridge construction, etc.

2. Commercial occupation: This is concerned with people that are engaged in the marketing and distribution of finished goods. It includes all activities concerned with trade and aids to trade. Commercial occupation includes the following: -

a. Trading: - this is the process which involves buying and selling of goods and services. People can be gainfully employed in the following occupations: - Retailing; Importing; Exporting etc.

b. Advertising: - this is the process of creating awareness about the existence of a product in order to stimulate demand. Examples of occupations in advertising are: Advertising agency, Advert Director, Graphics artist.

c. Communication: - it includes all the people who facilitate the sending and receiving of information from one place to another. Examples of occupation in communication are: -

Telephone operator, Courier service provider, Post Master.

d. Banking: - it ensures the acceptance of deposit from the customer and making funds available to business men for business transactions. Examples of occupations in banking are: Tellers, Pilots, Cashiers, Loan managers etc.

e. Transportation - this involves all the occupations that are involved in the movement of goods and people from one place to another. Examples of occupations in transportation are: Drivers, Conductors, Sailors etc

3. Service Occupation: This is concerned with people who provide or render personal and indirect services to the people. It involves doing something for the consumers. Types of Services are:

1. Direct services: - these are personal in nature because they are rendered directly to those who pay for it from their pockets e.g. barbers, dentist, gardener, stewards, taxi drivers and doctors in private practice etc.;
2. Indirect services: - these are services rendered to members of the public but are paid for by the government e.g. teachers, police officers, doctors and lawyers in government employment.

FACTORS THAT DETERMINE THE TYPE OF OCCUPATION PEOPLE ENGAGED IN

1. Availability of natural resources
2. Conditions of service
3. Climatic and weather
4. Interest of people
5. Level of education and training

EVALUATION:

1. Define occupation
2. Differentiate between industrial occupation and commercial occupation
3. Explain with one example each, three classes of occupation.

WEEK 4 – PRODUCTION, DIVISION OF LABOUR, SPECIALIZATION AND EXCHANGE I

MEANING OF PRODUCTION

The term production refers to the creation of goods and services to satisfy human wants. Production also means the transformation of raw materials into finished goods and their distribution to the consumer to satisfy human wants. Production is not complete until the goods and services get to the final consumer.

CLASSIFICATION OF PRODUCTION

Production is grouped into two major categories. These are direct and indirect production. (a) Direct Production is the type of production in which an individual produces goods and services only for the family use or consumption.

(b) Indirect Production is the type of production in which goods and services are produced in large scale mainly for sale or exchange for other needs. This type of production involves the use of modern equipment and skilled labour to be able to make surplus goods and services. Indirect production is sub divided into three major groups. These are primary, secondary, and tertiary production.

(i) **Primary production (industry):** Primary production refers to the extraction of raw materials provided by nature. Primary production forms the basis for further production. Examples of primary production include agriculture, mining, fishing, lumbering etc.

(ii) **Secondary Production (commerce):** Secondary production involves the transformation or conversion of basic raw material or semi-finished goods into final forms that are acceptable to the consumer. Secondary production embraces all forms of manufacturing and construction. The raw materials from the extractive sector are transformed into finished products such as cars, food, roads, houses etc.

(iii) **Tertiary production (services):** Tertiary production is concerned with the provision of commercial and professional services to people. People involved in this aspect of production include those in commercial services like wholesalers, retailers,

transporters etc as well as professional services like soldiers, bankers, doctors, hairdressers, teachers, lawyers etc.

The scarce resources which are used to produce the commodities we need and want to consume are collectively called the factors of production.

FACTORS THAT DETERMINE THE VOLUME OF PRODUCTION

1. Amount of capital
2. Availability of raw materials
3. Management
4. The market size
5. Efficiency of other factors of production

EVALUATION

1. Define production.
2. State and explain the two major categories of production.
3. List and explain the three sub-divisions of **indirect production**, giving two examples each.
4. State five factors that determine the volume of production.
5. Give two differences between **direct** and **indirect** production.

WEEK 6 – PRODUCTION, DIVISION OF LABOUR, SPECIALIZATION AND EXCHANGE II

FACTORS OF PRODUCTION

Meaning: Factors of production refers to agents, components and resources which are combined together to make production possible. These are:

- i. Land
- ii. Labour
- iii. Capital
- iv. Entrepreneur

LAND: Land is a free gift of nature. It includes all natural resources used in production like ocean, forests, mineral resources, rivers, oceans, atmosphere etc. The reward for land is rent.

CHARACTERISTICS/FEATURES OF LAND

- a. Land is immobile
- b. Land is a free gift of labour
- c. It is relatively indestructible
- d. The supply of land is fixed.

IMPORTANCE OF LAND.

- a. Farming purposes
- b. Livestock purposes
- c. Fishery purposes

LABOUR: Labour is defined as all human efforts put into production. It involves man's mental and physical exertion in the process of production. The reward for labour is wages and salaries.

Types of Labour: There are three types of labour, namely:

1. Unskilled Labour: this comprises of labourers with little or no education, whose work requires the use of physical energy.
2. Semi – skilled labour: this comprises of workers with little education or training, whose job does not require high skill or high mental effort.

3. Skilled Labour: this comprises of workers who possess high level education and skill such professionals and managerial staff.

CHARACTERISTICS/FEATURES OF LABOUR

1. Labour is mobile
2. Labour has feelings
3. Labour is skillful
4. It is a human factor (it is supplied by man)
5. It is perishable

IMPORTANCE OF LABOUR:

Labour is very important in production because of the following reasons

1. Provision of personnel
2. Production of goods and services
3. Operation of machines

CAPITAL

Capital is defined as man-made wealth or assets used to create further wealth. It is man-made resource used to produce other goods and services. The reward for capital is interest.

CHARACTERISTICS/FEATURES OF CAPITAL

1. It is man-made
2. It is durable
3. It exists in different forms

IMPORTANCE OF CAPITAL

1. It is used to start up a business
2. It is man made
3. It is used as a collateral to obtain loan or credit

ENTREPRENEUR

An entrepreneur can be defined as the factor that co-ordinates and organizes other factors of production in order to produce goods and services. It is the driving force behind the business. The reward for entrepreneur is profit or loss.

CHARACTERISTICS OF ENTREPRENEUR

1. Risk bearer
2. Controls other factors of production
3. Decision making

FUNCTIONS/IMPORTANCE OF ENTREPRENEUR

1. Provision of capital
2. Decision making
3. Risk bearing
4. Efficient management

IMPORTANCE OF PRODUCTION

1. **Availability of goods and services:** Production helps to ensure that goods and services are made available for use by human beings
2. **Improvement of Standard of living:** Production helps to ensure adequate improvement in the standard of living of the people.
3. **Provision of employment:** Continuous production ensures the employment of many people.
4. **Increase in wealth of people:** Production assists people to accumulate wealth as a result of continuous employment.
5. **Increase in export potential:** Production also assists a state or nation to boost her export of goods and services to other nations.

MEANING OF DIVISION OF LABOUR: Is the breaking of production processes into smaller units or processes with each process being undertaken by a worker or group of workers. Division of labour is a complex process mainly practiced in industry where workers specialize in the production of a small portion of a production, and may not see the end product and may not make use of it.

ADVANTAGES OF DIVISION OF LABOUR

1. It leads to higher productivity.
2. It encourages specialization.
3. Creation of job opportunity is possible.
4. There is product standardization.
5. It saves a lot of production time.

DISADVANTAGES OF DIVISION OF LABOUR

1. Monotony of work.
2. Decline in craftsmanship.
3. The use of machine reduces employment opportunities.
4. Some machine can badly affect the health of the workers.
5. Increase in interdependence among individuals and industries.

LIMITATIONS TO DIVISION OF LABOUR

1. The Size of the Market: The extent to which goods and services produced are demanded will determine whether or not division of labour will be applied since the main reason for it is to increase supply.
2. The Nature of the Product: - Certain responsibilities or services cannot be divided e.g. hair cutting, driving, farming etc.
3. Availability of Factors Inputs (e.g. Labour)
4. Capital Availability
5. Level of Technology Availability

SPECIALISATION: Is the process by which an individual, a firm or a country concentrates his or its productive efforts on a particular line of production in which he or it has the greatest advantages over others. That is, it is the act of limiting one's productive efforts to a particular aspect of economic activity. Specialization is a result of Division of Labour . This process depends on the type, size of the firm and goods and services produced.

TYPES OF SPECIALISATION

1. **Specialization by Process:** is the type in which production process is divided into different stages for each skilled worker in an industry.

2. **Specialization by Sex:** is the type in which certain occupations are exclusively either for male or female as dictated by custom, tradition or by law.
3. **Specialization by Product:** is the type in which an individual or a firm concentrates on the production of a particular commodity.
4. **Geographical/Territorial Specialization:** is the type in which certain region or territory specializes in the production of a particular commodity

EXCHANGE:

Exchange is the process of giving out certain valuable goods and services in order to have something valuable in return. It can also be regarded as the outcome of specialization and production. Exchange arises because of excess production of goods and services.

INTERRELATIONSHIP BETWEEN PRODUCTION, DIVISION OF LABOUR, SPECIALISATION AND EXCHANGE,

Production, division of labour, specialization and exchange are interrelated, in the sense that production is the process of creating goods and services which is enhanced by breaking processes into stages (division of labour) and concentrating productive effort on a particular thing (specialization). Division of labour and specialization leads to mass production and this necessitate exchange.

TYPES OF GOODS

1. Consumer goods
2. Durable goods
3. Non-durable goods
4. Producer or capital goods

EVALUATION:

1. What is production?
2. List and explain factors of production
3. What are two limitations of division of labour
4. Define specialization
5. Write short note on primary, and secondary production



WEEK 8 – TRADE

MEANING OF TRADE

Trade is the act of buying and selling of goods and services. People trade with the aim of making profit in order to cater with their needs.

TYPES OF TRADE

1. HOME TRADE: This is the buying and selling of goods and services within a country. Buying of goods and services that take place in from Lagos to Port Harcourt, Onitsha and Aba is home trade. It is within Nigeria.

Type of Home Trade

- i. *Retail Trade:* Retail trade is when the retailer buys goods in small quantity from the wholesaler or the manufacturer and sells them in bits to the final user (consumer).
- ii. *Wholesale Trade:* This is trade in which the purchaser buys goods in bulk or large quantity from the producer or manufacturer and sells in small quantity to the retailer.

2. FOREIGN TRADE: Foreign trade is buying and selling of goods and services involving countries of the world. Foreign trade is the exchange, buying and selling of goods and services between two or more countries. When Nigeria sells crude oil and gas to Japan, China or the United Kingdom, it is international trade.

Types of Foreign Trade:

I. Export trade: This is the selling of goods and services produced in one country (Say Nigeria) to other countries.

II. Import trade: This is when businessmen in Nigeria buy goods from foreign countries for the purpose of selling them within the country.

III. Entre-port: This is the re-selling of imported goods by one country to another without changing or transforming the goods. Entre-port is also known as re-exporting. For example, a businessman imports computers games from Japan to Nigeria, instead of selling them in Nigeria; he sends them to Ghana where he is paid in foreign currency. It is called entre-port.

DIFFERENCES BETWEEN HOME AND FOREIGN TRADE

Home Trade	Foreign Trade
The same language is used as a medium of communication among traders E.g., Lagos – Aba	Language used by traders as means of communication may be the same or different. E.g., Nigeria – USA or Nigeria – China or Germany
Trading activities are done in the same country	Trading activities are done between two countries or among countries.
The same money or currency is the medium of exchange. E.g., Naira and kobo	Different money or currency is the medium of exchange. E.g., Nigeria (Naira) – USA (Dollars)
There are no barriers to free trading activities.	There are many barriers to free trading activities
The risk involved is minimal	The risk involved is high

EVALUATION:

1. Define trade
2. Describe the relationship or differences between foreign trade and home trade
3. Describe the different type of trade

WEEK 9 – HOME TRADE

MEANING OF HOME TRADE

Home trade is the buying and selling of goods and services within a geographical area of a nation. This type of trade takes place within the boundaries of the country. It is also called internal or domestic trade.

MEANING OF RETAIL TRADE

Retail trade is the business activity of buying goods in small quantities from the wholesalers and selling in bits to the final consumers. Retailing is the final link in the chain of distribution. The person who engages in retail trade is called a retailer. Retail activities can be classified into small scale and large-scale retail trade.

CHARACTERISTICS OF RETAIL TRADE

1. Retail trade buys goods in small quantity from the wholesaler or Producer and sells in smaller unit to the final consumer
2. Retail trade deals with variety of goods.
3. It brings the goods closer to the consumer.

FUNCTIONS OF RETAIL TRADE

1. Sells in small unit: Retail trade buys in small quantity from the wholesaler or producer and sale in smaller quantities to the final consumer.
2. Variety of goods: A retail trade provides the consumer with variety of goods.
3. Allows credit: It sells goods on credit to its customer who is credit worthy.

FACTORS TO CONSIDER IN SETTING UP A RETAIL TRADE

1. Availability of capital
2. Nearness to consumers
3. Level of competition
4. Accessibility

MEANING OF WHOLESALER:

A wholesaler is a trader who buys goods in bulk or in large quantities from the producer/manufacturer and sells in small quantities to the retailer.

TYPES OF WHOLESALERS:

Wholesaler can be classified into two broad categories, namely:

1. **Merchant wholesaler:** The merchant wholesaler buys and re-sell goods on their own account taking title to the products they handle and convey the title directly to those they deal with. He bears risk of ownership of goods. Merchant wholesalers include;

- a. Specialist wholesalers
- b. Rack jobbers etc.

2. **Agents middlemen:** Agents middlemen are mostly engaged in wholesaling rather than in retailing. They assist in negotiating sales and purchases or both on behalf of their principals. They do not take title to the goods but they receive commission.

- a. Broker
- b. Manufacturer's agent
- c. Auctioneer

FEATURES OF WHOLESALE TRADE

- 1. Bulk breaking
- 2. Buys goods in large quantity and sells in small quantity to retailer.
- 3. They are the middlemen between the producer and retailers.

FUNCTIONS OF WHOLESALERS TO THE MANUFACTURER/ PRODUCER

- 1. **Breaking of bulk:** they buy in bulk and sell in small quantities to the retailers.
- 2. **Warehousing function:** The wholesalers are able to purchase very large quantities from the producers, which they store in the warehouse until they are required by the retailers.
- 3. **Transport and delivery service:** they receive large quantities from the producers make them available to countless retailers through their own network of distribution centers.
- 4. **Risk bearing:** the wholesaler can anticipate business risk in distribution and take appropriate measures to reduce their impact by taking the necessary insurance cover.
- 5. **Branding, packaging and labeling:** The wholesalers may prepare commodity for sale by packaging, branding and grading.

FUNCTIONS OF WHOLESALERS TO RETAILERS

1. Wholesalers sometimes pre-packed, brand and grade goods for retailers
2. They stimulate demand for goods through sales promotion.
3. They often offer credits facilities to the retailers.
4. They provide retailers with technical information and advice on new products.

CHANNELS OF DISTRIBUTION:

Channel of distribution is the path through which the ownership of goods is transferred as it moves from the producer to customers

DIFFERENT CHANNELS OF DISTRIBUTION

1. PRODUCER → AGENT → WHOLESALER → RETAILER → CONSUMER
2. PRODUCER → WHOLESALER → RETAILER → CONSUMER
3. PRODUCER → RETAILER → CONSUMER
4. PRODUCER → AGENT → RETAILER
5. PRODUCER → AGENT → CONSUMER
6. PRODUCER → WHOLESALER → CONSUMER
7. PRODUCER → CONSUMER

FACTORS TO CONSIDER BEFORE CHOOSING A PARTICULAR CHANNEL OF DISTRIBUTION

1. Number of potential buyers
2. Competitors' channel
3. Financial capability of the producer
4. Nature of goods
5. Location of customers
6. Size of order
7. Value of goods.

EVALUATION:

1. (a) Who is a wholesaler? (b) Elucidate the functions of a wholesaler.
2. What is channel of distribution?
3. Who is the middleman?
4. What are the features of wholesaler?



WEEK 10 – FOREIGN TRADE

MEANING OF FOREIGN TRADE

Foreign trade which is also called international trade, external trade refers to buying and selling across the border of a country i.e. trade between buyers and sellers at least two different countries. Foreign trade can be either export or import. Export means, selling goods or services abroad i.e. The seller is resident in the country while the buyer is resident in another country. Import on the other hand refers to buying of goods or services from abroad i.e. the buyer is resident in the country while the seller is resident in another country.

SIMILARITIES BETWEEN FOREIGN AND DOMESTIC TRADE

1. Both are facilitated by aids to trade
2. Currencies are involved in both case beyond
3. Both involves the act of buying and selling of goods and services
4. Both are division of trade.

FORMS/TYPES OF INTERNAIONAL TRADE

1. **Bilateral Trade:** This occurs when one country agrees to exchange goods and services with another country. It involves buying and selling between two countries e.g. trade between Nigeria and Russia is bilateral trade agreement.
2. **Multilateral Trade:** This involves buying and selling among many countries. It occurs when each nation buys and sells with whatever country it wishes. This result in a greater volume of trade being carried on than in a bilateral trade agreement e.g. Nigeria has multilateral trade agreement with countries like America, China Russia, Britain and Holland.

REASONS FOR INTERNATIONAL TRADE

1. **Difference in climatic condition:** One of the reasons for international trade is the difference in climatic condition and weather. Some countries are very cold while some are temperate. Rubber and cocoa are found in the countries that are located in the rain forest while groundnut grows better in the savannah regions.
2. **Difference in level of technology:** The level of technology of some countries is more advanced than others. Because of these reasons, goods can be produced

efficiently in large quantities and better quality than others. This will necessitate international trade.

3. Difference in human resources
4. Expansion of world market.
5. Difference in the efficiency in the use of natural resources.

BENEFITS OF INTERNATIONAL TRADE

1. Foster friend relationship and world peace
2. Expansion of world market
3. Increase in the standard of living.
4. Prevention of monopoly
5. Provision of employment
6. Acquisition of skills from one country to another.

BARRIERS TO FOREIGN TRADE

1. ***Ideological difference***: Foreign trade will be affected where there is difference in opinion and political ideology among nations of the world. This will restrict free flow of goods among them.
2. ***Currency difference***: Difference in currency is a barrier to international trade. Since it involves two or more currencies, fluctuation in exchange rate and non-availability of foreign currency will impede the flow of goods
3. ***Artificial barrier***: The imposition on duties like tariff on goods create barrier. Strict regulation and tariff limit the extent of foreign trade. Goods that are dispatched to other countries will usually pass through some barriers. This will hinder trading activities.
4. ***Distance***: International trade involves great distance. Because of the distance between one country and another, the cost of freight will be increased. Moreover, it takes several days or months before goods can be dispatched from one country to another.
5. ***Language***: Having different languages create barriers. This is a major setback because there would be no effective communication between businessmen from one country to another.
6. ***Cultural problem***: The multiplicity of customs and traditions of various countries can keep away businessmen and this have a negative impact on foreign trade.

DOCUMENTS IN FOREIGN TRADE

There are various documents which facilitate international trade. These documents include:

1. Export invoice
2. Bill of lading
3. Certificate of origin
4. Shipping note
5. Airway bills
6. .Bill of exchange
7. Ship manifest
8. Custom specification etc.

EVALUATION

1. What three benefits does Nigeria derive from engaging in foreign trade?
2. Explain three barriers likely to be faced by a businessman who wants to sell his goods overseas
3. State three reasons for international trade



SS 1 COMMERCE LESSON NOTES

SECOND TERM

1. Commodity Exchange I
2. Commodity Exchange II
3. Sole Proprietorship
4. Partnership I
5. Midterm Examination
6. Partnership II
7. Midterm break
8. Money
9. Career Opportunities
10. Cooperative Society



WEEK 1 & 2 – COMMODITY EXCHANGE

MEANING OF COMMODITY

Commodity is any good or material produced to satisfy wants or needs. Commodities may also be defined as materials or products that can be traded or exchanged for value at a particular time and at a pre-determined price. Any material or anything regarded as commodity must possess standard quality and price. For instance, gold, silver are commodities because they have standardized quality and price which are objective and are determined in line with local or international standard.

TYPES OF COMMODITY

Commodities are basically classified or divided into three categories.

- 1. Agricultural Produce:** These are goods that are grown or cultivated for human consumption. They include food crops, cash crops and livestock which are traded or exchanged at a pre-determined price and graded quality. Another name for agricultural produce are soft commodities. Examples are beans, wheat, sugar, coffee etc.
- 2. Solid Minerals:** They are basically solid materials which are extracted through mining. Examples are gold, iron ore, silver, copper, tin, etc. Solid minerals can also be called hard commodities.
- 3. Oil and gas/energy commodities:** these entail commodities which are generated from certain sources for the purpose of domestic or industrial consumption.. Examples are electricity, gas, oil etc.

MEANING OF COMMODITY EXCHANGE AND TRADABLE COMMODITY

Commodity Exchange can be defined as an open and organized market place where ownership and titles to certain quantity of tradable commodity are exchanged at a predetermined standardized price and quality. It can also be defined as an organized process and procedure where buyers and sellers of tradable commodities come into contact to exchange such commodities at a pre-determined price and quality.

TRADABLE COMMODITY: Tradable commodities are materials which are exchanged for value in big quantities and whose quality standards and prices are

universally applicable (have international markets). Examples of tradable commodities in West Africa are: energy (natural gas, crude oil, furnace oil), fibre (cotton, raw jute), Grains (rice, maize, cowpea, millet etc. Non-tradable commodities are the goods that have only domestic markets. For example, land is a non-tradable commodity.

DISTINCTIONS BETWEEN TRADABLE AND NON-TRADABLE COMMODITIES

S/N	Tradable commodity	Non-tradable commodity
1	It is universally supplied and demanded without qualitative differentiation	It is universally supplied and demanded without qualitative differentiation subjected to different quality.
2	It is commonly traded in international market.	It is commonly traded in local market.
3	The price of tradable commodities fluctuates based on global supply and demand	The prices of non-tradable goods fluctuate based on local supply and demand
4	The of tradable commodity is relatively fixed at a specified quality	The price of non-tradable commodity is not fixed due to differentiation in aspect of production.

REQUIREMENT FOR TRADING IN COMMODITY EXCHANGE.

- 1. Grading System:** This involves the process of arranging the commodities in a manner to ensure quality delivery of the commodities to the customers.
- 2. Warehousing:** It is the process whereby tradable commodities are stores for a specified future period to satisfy trading purpose i.e. until they are needed.
- 3. Clearing system:** This is the process of ensuring that commodities exported are carefully cleared from the seaports or airports
- 4. Standardizing:** This process ensures that commodities being traded are able meet the standard set by the destination country. Standardizing gives room for consistent quality, uniformity and reduction in variety of commodity in the commodity exchange market.

5. Simplification: it is the process of reducing wasteful and irrelevant commodity which may not contribute to effective exchanging process.

TYPES OF TRADING ON COMMODITIES

1. Spot Trading: It is a system or type of commodity trading or transaction on the spot where delivery takes place immediately as well as payment. The seller may receive part payment before the commodity is delivered or full payment after the commodity is received.

2. Forward Future: This can be regarded as forward contract. It is a trading agreement between sellers and buyers to exchange a predetermined quantity of commodity at a pre-specified market price and fixed future period of time. It involves trading which shall be completed at a later date between the parties involved.

METHODS OF TRADING ON COMMODITIES EXCHANGE

1. Open Outcry: This is a method of shouting items of sale on commodity market with hands raised by the buyers to signify intention to buy.

2. E-trading: Method where buyers and sellers of commodities are brought together through electronic platform.

3. Pit trading: Method of trading where buyers and sellers meet in a particular area of the trading floor to reach a bargain through an open outcry system

BENEFITS OF COMMODITY EXCHANGE.

The following are the major benefits or importance of commodity exchange. They also entail the roles which commodity exchange plays in the economic development of a country. 1. Increase in Agricultural Production:

2. Stabilization in Agricultural Product Pricing
3. It encourages the exploration of solid minerals
4. They ensure increase foreign exchange earnings
5. Improved Agricultural Output and Quality

CONSTRAINTS TO COMMODITY TRADING.

1. Inadequate Supply: The supply of some commodities may be inadequate especially when unexpected poor harvest affects discharge of future contract.

2. *Bad Weather:* Most of tradable commodities, especially agricultural products, are subjected to climatic or weather condition, thereby causing a limitation to commodity trading.

3. *Inadequate knowledge of the workings of the Commodity Exchanges:*

Inexperienced and unskilled agents and contractors which lack the skills and knowledge of the workings of the commodity exchange hinder patronage and participation.

4. *The problems of Middlemen:* The presence of middlemen or agents who often cause artificial scarcity inflation of commodity process is also a major constraint to commodity trading in Nigeria.

5. *Poor Storage Facilities:* This usually reduces the quantity of soft commodities available for sale as some quantity decays over time.

DIFFERENCES BETWEEN COMMODITIES AND STOCKS.

S/N	COMMODITIES	STOCKS
1	Commodities are traded in commodity exchange market.	Stocks are traded in stock exchange market..
2	Commodities are tangible in nature which is consumed.	Stocks are intangible in nature
3	Commodities involve passing of ownership and titles of goods between the seller and the buyers.	Stocks allow taking ownership in a company
4	Traders are involved in selling and buying of commodities.	Brokers are involved in buying and selling of stocks.
5	The return on tradable commodities is known as profit.	The return on stocks is known as dividend.

SIMILARITIES BETWEEN COMMODITIES AND STOCKS

1. They can be bought and traded
2. They require large sum of money to trade with.
3. The profits/dividends from trading on commodities and stocks are usually very high

EVALUATION:

1. What are financial security issued by government and large companies as a means of raising long-term capital to finance their expenditure? A. commodities b. sand c. stock d. soft commodity.
2. Ownership of a company is taken by buying..... A. stock b. gold c. oil d. hard commodities.
3. A good example of tangible goods is..... A. bond b. shares c. commodities d. debentures.
4. Commodities include and a. stock and bonds b. shares and gold c. agricultural product and solid minerals d. air and water.
5. Mention two components of commodities.
6. List four tradable commodities each under the following sub headings: a. Soft commodities b. Hard commodities c. Energy commodities
7. State two differences and two similarities between commodities and stocks.
8. Discuss five problems militating against the growth and prosperity of commodity trading in Nigeria.
9. All but one is not a constraint to commodity trading in Nigeria.....a. ethical issues b. poor storage facility c. bad weather d. exploration of solid minerals.

ASSIGNMENT

Explain to an investor the advantage of stocks over commodities

WEEK 3 – SOLE PROPRIETORSHIP

MEANING OF SOLE PROPRIETORSHIP

Sole proprietorship could be defined as the business organization both owned and controlled by a man. The owner is called the sole proprietor or sole trader. This type of business may be operated by the proprietor (owner) alone or it may employ several people. It is the oldest, simplest and commonest form of business in Nigeria.

Examples are private schools, hair salon, barber's shop etc.

FEATURES OF SOLE PROPRIETORSHIP

Sole proprietorship business is characterized by the following:

- It owned and controlled by one man.
- It has unlimited liability.
- It is not a legal entity.
- Its main aim is to make profits.
- It requires small capital.
- It allows the owner to make decision alone.

SOURCES OF CAPITAL.

1. Personal savings.
2. Borrowing from relatives like friends, family, etc
3. Plough back profits, i.e. profits made last year but not spent till this year.
4. Loans from the commercial banks, if there is a collateral security.
5. Grants from government.

ADVANTAGES OF SOLE PROPRIETORSHIP

1. Low capital requirement: The capital requirement to start is small.
2. It is easy to Start: One-man business is easy to establish because no rigorous legal or administrative formalities are required before business can start.
3. Cordial relationship exists between the owner, staff and customers.
4. Quick Decision making: The sole proprietor does not need to consult anybody before decisions are taken.
5. Privacy and secrecy: There is no legal requirement that books of account should be opened for public inspection, or for the inspection of anybody.

6. It can adapt to any environment: One-man business can be established in any environment where the clientele (customers) are available.

DISADVANTAGES OF SOLE PROPRIETORSHIP

1. ***Inadequate Capital***: Due to inability of the sole proprietor to present collateral security, he may not be able to secure funds from banks. This will limited the amount of capital in his possession.
2. ***Limited Expansion***: As a result of little capital available in sole proprietorship business, it is difficult for the business to grow.
3. ***Unlimited Liability***: If the business fails, the proprietor runs the risk of losing his business assets as well as his personal possessions. This is because the sole proprietorship is not a legal entity that is separate from its owners.
4. ***No continuity***: The death of the sole proprietor may bring the business to an end, especially if direct services are involved.
5. ***Unwise and rash decisions may often be taken***; This is because the proprietor is not required to consult anybody before taking a decision.
6. ***He bears all the risk***: A sole proprietor is a risk bearer since he alone dictates how the business is controlled and managed.

EVALUATION

1. State the meaning of sole proprietorship
2. List five sources of capital to the sole proprietorship.
3. Outline the advantages and disadvantages of sole proprietorship.

ASSIGNMENT: 1. Define partnership and explain the types of partnership.

WEEK 4 & 6 – PARTNERSHIP

MEANING OF PARTNERSHIP

Partnership is an association between a minimum of two and maximum of twenty members coming together to undertake a/some businesses) in order to make profit. The partnership Act 1890 defined partnership as the relationship which subsists between persons carrying on a business in common with a view of profit. Partnerships are also known as firms. The law allows this type of business to have between two and 20 persons as members although there are exceptions. A bank is not allowed to have more than ten partners and certain professional firms such as accountants, solicitors and stockbrokers are allowed to have more than 20 partners. Examples are Femi and Shade Enterprises, Diya Fatimilehin and Co; (estate firm).

FEATURES OR CHARACTERISTICS OF PARTNERSHIP

1. **Ownership:** Membership is limited and is from two to twenty.
2. **Objective:** The main aim of forming this type of business organization is to make profit.
3. **Source of capital:** The partners contribute the capital required for starting and running the business.
4. **Unlimited Liability:** Members of a partnership have unlimited liability for the debts of the firm.
5. **Life span:** The duration of the business depends on the agreement signed by the partners involved.
6. **Legal entity:** It is not a legal entity as the partners are not separated from the business.
7. **Management:** The business is controlled and managed by the partners.

TYPES OF PARTNERSHIP

1. **Limited Partnership:** This is a type of partnership which is formed and registered under the limited Partnership Act. In a limited partnership, there must be one general partner with unlimited liability and one limited partner whose liability is limited to the amount invested into the business. The partners do not take equal part in management and administration of the business.

2. General or Ordinary Partnership: This is the opposite of limited partnership where the members who formed the business have the equal rights and responsibility in the administration of the business. Every partner is jointly liable to the full extent of the debt of the firm. The liability of members is unlimited, which means that all partners are liable to the full extent of the debts of the firm.

TYPES OF PARTNERS

1. Limited Partners: A limited partner is one who has agreed to contribute a certain sum to a partnership business and is prevented by law from taking any active part in the management and administration of the business. He has limited liability.

2. General Partners: This type of partner has full power of participating in the conduct and management of the partnership business. A general partner has unlimited liability and binds the firm. Death or bankruptcy of this partner leads to the dissolution of the partnership.

3. Active Partner: An active partner participates actively in the day to day running of the firm and is being paid a certain sum as salary. He contributes to the financing and formation of the business.

4. Nominal or Quasi Partner: A nominal partner contributes only his name to the formation of the business. He neither contributes capital nor takes part in the management of the firm.

5. Sleeping or Dormant Partner: A dormant partner takes no part in the conduct and management of the partnership business. He contributes capital and share from the profit but receives no salary. A sleeping partner is liable for the debts of the firm.

FORMATION AND AGREEMENT OF PARTNERSHIP BUSINESS.

A partnership business may be established without any formality although the partners have certain unavoidable obligations to third parties. It is usual for people entering into partnership to express their intention in a partnership agreement known as, '**Deed of Partnership**'. Deed of Partnership is a document which contains the rules and regulations which partners agree to abide by in the course of the operation of the partnership.

The deed is also called Partnership law.

THE CONTENTS OF PARTNERSHIP DEED ARE:

- The name of the partners
- The name and nature of business.
- The objective of the firm
- Admission of new partners
- Procedure in the event of death of a member
- The amount of capital contributed by each partner.
- The role of each partner in the firm
- How profits and losses are to be shared.
- Whether or not salaries are to be paid to any partners and how much.
- How decisions are to be made either by majority vote or what
- The duration of the partnership
- The rights and obligations of partners
- How the business shall wind up if the need arises.

RIGHTS OF PARTNERS

1. The partners are entitled to share from the profits of the partnership business.
2. They must be indemnified by the firm in respect of payments made and personal liabilities incurred in the conduct of the business
3. A partner making advance beyond the amount of capital which he has agreed to subscribe is entitled to interest of 5%.
4. A partner has the right to act as the agent of the business.
5. Every partner must have access to the partnership books of accounts.
6. Every general partner can take part in the management of the partnership

SOURCES OF CAPITAL

7. **Personal contribution:** The partners raise the initial capital by contributing specified sums of money to the partnership.
8. **Undistributed profits:** Profits made in certain years can be ploughed back into the business for the purpose of expansion.
9. **Admission of new partners:** Additional capital can be raised by inviting new persons to become partners.
10. **Loans and overdraft:** Partners can easily obtain loans and overdraft from banks since they are jointly liable.

11. **Trade credit:** Money can be obtained from middlemen in advance in order to facilitate production of goods.

ADVANTAGES AND DISADVANTAGES OF PARTNERSHIP

Advantages of Partnership

1. **Sufficient Capital:** It is easier to raise more capital than a sole proprietorship because of the number of persons involved in this business.
2. **Division of Labour:** The work of a firm is shared according to the area of specialization of each partner, for instance, an accounting firm may have one partner specializing in cost accounting while the other concentrates on auditing.
3. **Better Chance of Continuity:** There is greater continuity in partnership because the exit or death of one partner may not result to the dissolution of the business.
4. **Better Decision:** Better decisions are reached because two are better than one
5. **Greater possibility of expansion:** There is the possibility of expansion by making use of additional capital derived from the admission of a new partner.

DISADVANTAGES OF PARTNERSHIP

1. **Unlimited Liability:** If the business goes bankrupt, the partners may have to offset the debt by selling their personal properties.
2. **Limited Capital:** Since partnership is not allowed to sell shares, its capital limited to the contributions of partners.
3. The death or exit of a general partner may end the business.
4. **Slow decision making:** Decision making process in this business is usually slow because a meeting of partners may be necessary before major decisions are taken.
5. **Disagreement between partners:** Partners may disagree over a sensitive issue that may lead to the end of the business.
6. **It is not a legal entity:** Partnership business is not a separate and distinct personality. It cannot sue and be sued in its own name.

DISSOLUTION OF PARTNERSHIP

Dissolution of partnership is the coming to an end of a partnership agreement. It is the wind up or liquidation of a partnership business. A partnership may wind up because of the following:

- a. Expiration of Agreement:* If entered into for a fixed term, the partnership is dissolved at the expiration of that term.
- b. Death or Bankruptcy of a partner;* Partnership will be dissolved when one of the partners is bankrupt or dead.
- c. Notice of Retirement:* A partnership may end when a partner has given sufficient notice of his retirement.
- d. Joint Decision:* Partnership can be dissolved when all the members decide to put a stop to the business relationship.
- e. Insolvency of the Business:* partnership can be dissolved when it cannot meet its obligations.
- f. Court verdict:* The court may decree the dissolution in certain cases, e.g. if a partner is incapacitated or if there is a misconduct.
- g. Insanity of a partner:* If one of the partners becomes insane, the remaining partners can apply to the court for dissolution.

EVALUATION

1. Explain the meaning of partnership
2. Identify five features of partnership
3. List 5 contents of the partnership deed.
4. Enumerate 5 rights of a partner
5. What is a Deed of Partnership?

WEEK 8 – MONEY

MEANING OF MONEY

Money is anything that is universally accepted as a medium of exchange and for settlement of debt. It can also be defined as anything that is generally acceptable as a means of payment. Money includes cash, bank notes, bank drafts, postal orders etc.

EVOLUTION OF MONEY

Before the advent of money, exchange took place by means of barter. This means that goods were exchanged for goods. The ancient people practiced subsistence farming that is they were able to provide for what they need. However, when the need comes for them to get what they do not have, they had to look for someone who want what they have and at the same time would give them what they want. This system of exchange was problematic and so effort was made to resolve the problem.

The solution came when items like cowries, cattle, shells, tobacco, salt and beads were used as medium of exchange. This means of exchange had his flaw because of the size and weight of the items used especially when a goat could be exchange for bags of cowries. Later, Precious Metals were weighed out whenever a payment was to be made. With time the metals were cut into pieces of definite weights and so, coins of limited face value were issued. And so, coins of limited face value were issued.

Paper money came to be as a result of the receipts issued by the goldsmiths in exchange for deposits of precious metal. The receipts became bank notes and the goldsmiths became bankers. In modern times, a further advance has been made by way of adopting paper money.

FUNCTIONS OF MONEY

(i). **Medium of Exchange:** Money can be used in exchange for goods and services because it is generally accepted. This means that money facilitate exchange.

(ii). **Standard of Deferred Payment:** Since money is durable and can be stored, it can be used for settlement of debts. The use of money makes it possible for credit transactions I e goods and services can be paid for at a later date.

- (iii). **Unit of Account:** The true worth of goods and services is measured in monetary terms. This makes accounting possible. It also makes installment payments possible.
- (iv). **Store of Value:** Money is a good store of value because wealth can be stored for future use. When there is no inflation, money stored or saved retains its value for many years.
- (v). **Measure of Value:** Money as a measure of value allows prices to be fixed for goods and services. Therefore, money is used as a yardstick to measure and compare the worth of goods and serviced as well as occupation.

QUALITIES/CHARACTERISTICS OF MONEY

Good money has qualities or characteristics which distinguish it from other commodities used in ancient times. These qualities are:

- (i) **Acceptability:** Anything to be used as money must be generally acceptable as a means of exchange and for settlement of debt. Money is generally acceptable because it is widely used and backed up by law.
- (ii) **Divisibility:** Money must be divisible into smaller units, e.g. N10, N20, N50 etc. This will enable payments to be made in small amounts of money as desired.
- (iii) **Stability:** The value of money must be stable. The stability of its value will help business to be predictable and encourage lending and borrowing of money.
- (iv) **Recognisability:** Money must be easily recognized and identified by the totality of the people in the society. It must not be easily counterfeited
- (v) **Durability:** For money to be stored for a long time, it must be able to last long .It must also be able to stand the test of time. For example, grains, livestock used in ancient times could decay after a long time. On the other hand, coins and bank notes can be withdrawn and new ones issued.
- (vi) **Portability:** Anything to be called money must be easy to carry about. The portability of money makes local and foreign trade easy. For instance, if money were bulky, people will be discouraged from carrying them about.
- (vii) **Relative Scarcity:** For money to maintain its worth, it has to be in limited supply. However, it should not be too scarce else people will not have money to buy goods thereby making money too valuable to be used in exchange for small items.
- (viii) **Homogeneity:** This means that anything regarded as money should be the same within the restricted area where it is used. In this case, heterogeneity will give rise to problems of acceptability.

FORMS / TYPES OF MONEY

The following objects are used as money at the present time.

(i). **Coins:** Coins are made of metals like copper, gold, silver etc. coins which are issued by the government or its agent are in two types. Standard coins and token coins.

Standard coins contain the full face value of the metal while token coins have a face value that is usually higher than the value of the metal. Token coins are made of bronze and copper. Nigeria coins are token coins

(ii). **Paper money/bank notes:** They are slips of paper or currencies issued by the central bank. Bank notes or paper money have no material value but have legal backing which makes them generally acceptable in exchange for the value of the amount indicated on them. Bank notes are also called fiat money, paper money, or representative money. Some paper money are backed up by gold while others which are not are called “fiduciary issue”. This is also called inconvertible paper money.

(iii). **Near money:** Near money consists of government securities that are close substitutes for money but are not legal tender. It is convertible money. Short and long term government securities have a guarantee which is redeemable by government at short notice.

(iv). **Negotiable instruments:** These are money order, postal orders, cheques, bills of exchange, bank draft etc. that are used in commercial transactions. The instruments authorize the bearer to collect cash or other item of value to the amount specified on the instrument.

(v). **Token money:** Token money is partial money that is temporarily accepted within the confinement of a place. Examples of tokens include luncheon vouchers, fuel vouchers, value coupons or cards, tickets etc.

EVALUATION

1. Mention five types of money.
2. What is money? (b) State and explain two functions of money.
3. Mention two qualities of money.
4. Narrate the evolution of money.

WEEK 9 – CAREER OPPORTUNITIES

MEANING OF CAREER OPPORTUNITIES

This refers to the various job opportunities that are available to people in the job market.

As a commercial student, there are many different categories of careers open to such students. Such opportunities may be available in the public and private sectors.

Generally we can easily classify employment opportunities into two broad categories which were self-employment and paid-employment opportunities.

CAREER OPPORTUNITIES IN COMMERCE

Career opportunities in commerce include the following;

- (i). Insurance industry:** Brokers, actuaries, underwriters, agents etc.
- (ii). Banking/financial industry:** Book keepers, account clerks, accountants, auditors, financial managers etc
- (iii). Trading:** Retailers, wholesalers, advertising agents, salesmen, sales representatives, managers, advertising agencies, purchasing agents etc
- (iv). Transport industry:** Transport agencies, transport officers, transport managers etc.
- (v). Teaching:** Teachers in secondary schools, lecturers in polytechnics and universities, bursars, registrars, etc.

REQUIREMENTS FOR DIFFERENT CAREERS

Some factors that make an individual have either strong or weak points in relation to a career include the following:

- (i) Experience:** Some jobs require a lengthy period of experience. In such case an inexperienced person becomes unsuitable.
- (ii) Education:** Some career opportunities require a relatively high level of education.
- (iii) Finance:** This becomes important in the case of self-employment.
- (iv) Natural talent:** Some occupations require a lot of aptitude or inborn skills.
- (v) People-orientation:** Some jobs require good human relations
- (vi) Initiative:** Some jobs require a lot of initiative and foresight as in the case of self-employment capacity to venture and undertake risks.

EVALUATION

1. What is a career?

2. List five different careers open to commerce students.



WEEK 10 – COOPERATIVE SOCIETY

DEFINITION OF COOPERATIVE SOCIETY

Cooperative society is a voluntary organization in which individuals, traders and businessmen with common interest pool their resources together to promote the welfare interest of their members. It is controlled by the members.

FORMATION OF A COOPERATIVE SOCIETY

A cooperative society is recognized in law as a legal person. It can own property, enter into contract, as well as sue and can be sued. Therefore a cooperative society must be registered before it begins operation.

A cooperative society is formed by a group of persons not less than ten (10).

The cooperative society must have a by-law which must contain the rules and regulations of the society. The society must show evidence of being able to sustain itself.

The cooperative society must keep certain books and records necessary for the running of the society.

Application form stating the particulars of the society must be obtained and submitted.

Then the Registrar of cooperatives issues a certificate which gives birth to the cooperative society.

CHARACTERISTICS OF COOPERATIVE SOCIETIES

Cooperative Societies have the following characteristics:

1. It is formed by individuals
2. The individuals in the society are united with common interest and goals
3. Cooperative societies promote the welfare of their members
4. Election in cooperative societies is through democratic process
5. Cooperative societies give loans to members
6. Saving of money is compulsory for members of a cooperative society

HISTORY OF COOPERATIVE MOVEMENTS

The formation of cooperative society started in a town of Rochdale in the industrial section of Lancashire in Great Britain. The first cooperative society in the world was formed on October 28, 1844, in Rockdale. It was formed by a group of 28 men who were weavers. The reason for the formation was to assist one another from the poor

condition of living they found themselves as a result of the industrial Revolution in Europe. The leader of the group was Charles Haworth. The name of the first cooperative society was the Rochdale Equitable Pioneer society. The society made the first cooperative law which they called the Rochdale's principles. Early contributors to the cooperative movement include Robert Owen and William King. The first attempt to form cooperative society in Nigeria was in 1922 when a group of cocoa producers came together to form a producer cooperative society with the aim of getting reasonable prices for their products. Presently, cooperative societies can be found in virtually all commercial activities which has contributed to the development of Nigerian economy by increasing the standard of living of the members.

TYPES OF COOPERATIVE SOCIETIES

The following are types of cooperative societies formed in Nigeria:

1. Consumer's Cooperative Societies

This is owned and operated by a group of ultimate consumers who pull their resources together to purchase goods and services in large quantities and distribute primarily to its members.

Features Consumers' Cooperative Societies

- (i) They are made up of consumers
- (ii) They protect themselves against exorbitant price of sellers
- (iii) They buy in large quantity and distribute to members in small quantity

2. Producers' Cooperative Societies

This is formed by manufacturers who produce similar products. They organise cooperative production and also undertake joint marketing of the products on both wholesale and retail basis

Features/Functions of Producers' Cooperative Societies

- (i) They are formed by producers of similar commodities
- (ii) They undertake joint marketing of products on wholesale or retail basis
- (iii) They organize cooperative production

3. Wholesalers' Cooperative Societies

Features/Functions of Wholesalers' Cooperative Societies

- (i) They are formed by wholesalers
- (ii) They buy in bulk from producers
- (iii) They sell in small unit to cooperative retailers

4. Retailers' Cooperative Societies: A contractual organization formed by many small independent retailers. They pool their resource together to help them buy in bulk and then sell the goods at a lower prices to their members who receive some form of patronage returns based on the amount of goods they purchased.

Features of Retailers' Cooperative Societies

- (i) They are formed by retailers pooling their funds together to enable bulk purchase.
- (ii) The goods are retailed to members at a relatively lower price
- (iii) They buy in bulk from producers/wholesalers

5. Thrift and Credit Societies: Association of low income earners who jointly pool large resources to fund together by contributing on a weekly or monthly basis.

Features of Thrift and Credit Societies

- (i) They are formed by low income earners
- (ii) They enable low income earners to pool their fund by monthly or weekly contributions.
- (iii) They grant loans to members at low interest rates
- (iv) They encourage saving habit among members

6. Multipurpose/Miscellaneous/Apex Societies: A society formed by existing co-operative societies.

Features of Multipurpose Societies

- (i) They make facilities available for sharing among member societies
- (ii) They mediate in case of rift among members
- (iii) They serve as protective body for members.

ADVANTAGES AND DISADVANTAGES OF COOPERATIVE SOCIETIES

Advantages of Cooperative Societies

1. They link their members with government and with research and financial institutions

2. Cooperatives often educate their members on production techniques especially in agriculture
3. Cooperative help in developing the rural areas if they are located there.
4. Cooperative societies are easy to form

Disadvantages of Cooperative Societies

1. Each member has only one vote irrespective of the amount of shares held.
2. Members receive lower interest on their investment than they would have received in other investments
3. Since the profits of cooperative movements are not distributed on the basis of the capital contributed, the incentive to contribute much capital is lacking.
4. The practice of one-man one vote adopted in electing the leaders can result in election of a popular but corrupt and inefficient leadership.

PROBLEMS OF COOPERATIVE SOCIETIES

The following are problems that often confront cooperative societies in Nigeria:

1. The cooperative habit is yet to be imbibed by the people. Also the role of cooperatives is yet to be widely appreciated, resulting to low membership and low dividend.
2. The high level of illiteracy with the membership often results in weak leadership
3. Cooperative societies are poorly funded from within and outside
4. Misappropriation of funds and poor financial management are sometimes suffered by some societies.
5. Government has not given enough support to cooperative societies

EVALUATION

1. Discuss the various problems faced by cooperative societies in Nigeria
2. What are thrift societies? Describe five services rendered by thrift societies to their members.
3. Discuss the history, management and financing of cooperative societies.
4. Explain briefly the reasons why people join cooperative societies.
5. What are the difference between cooperative societies and business organisation?

SS 1 COMMERCE LESSON NOTES

THIRD TERM

1. Public Enterprises
2. Limited Companies I
3. Limited Companies II
4. Trade Association I
5. Midterm Examination
6. Trade Association II
7. Midterm break
8. Transportation I
9. Transportation II
10. Communication



WEEK 1 – PUBLIC ENTERPRISES

PUBLIC ENTERPRISES

A public enterprise is a business set up and managed by government with the sole aim to provide essential services to the public. It is also known as Public Corporation.

Examples of public enterprises are NITEL, PHCN, Nigerian Airways, Nigerian Railway Corporation etc.

CHARACTERISTICS/FEATURES OF PUBLIC ENTERPRISE

- i.* They are owned by government of a state or country
- ii.* The capital used to establish public enterprise is provided by the government
- iii.* They are established by an act of parliament or a decree under the military government.
- iv.* They are set not to make profit but to provide essential services to the public
- v.* They are managed by board of directors appointed by the government

FORMATION AND MANAGEMENT OF PUBLIC ENTERPRISES

Public Enterprise or Public corporations are set up by an act of parliament at the federal level and by an edict at the state level. The law establishing these corporations states the objectives, aims and the specific functions and powers of the corporations. The law also states how the corporations will be managed. The management of public corporation is vested on the boards of the corporations that appointed by the government.

There is always a chairman and other members that constitute the board. Also the management or executives' management is team headed by a general manager. The general manger reports directly to the boards of each corporation. The board under the supervision of a minister at the federal level and a commissioner at the state level.

SOURCE OF CAPITAL FOR PUBLIC ENTERPRISES

- (i)* Government grants and aids
- (ii)* Internally generated revenue
- (iii)* Banks loans and grants etc.
- (iv)* Grants from international financial institutions
- (v)* Grants from foreign countries.

REASONS FOR GOVERNMENT OWNERSHIP OF PUBLIC ENTERPRISES

Government set up public enterprises for the following reasons

- (i) To provide essential services to the public
- (ii) To prevent exploitation of the public by private investors
- (iii) To provide employment
- (iv) To avoid duplication and waste
- (v) Some industries require huge capital to be set up and only the government can provide such capital.

ADVANTAGES OF PUBLIC CORPORATION

- 1. They create employment opportunities
- 2. Provision of essential services
- 3. They prevent exploitation
- 4. They enjoy continuity
- 5. They enjoy government funding

DISADVANTAGES OF PUBLIC ENTERPRISES/CORPORATIONS

- 1. **Mismanagement:** Most public corporations are mismanaged in the country.
- 2. **Government interference:** Government has continued to interfere in the affairs and running of public corporations
- 3. **Inefficiency:** Most of the workers are not committed to their work.
- 4. **Bureaucracy:** Decision-making in public corporation are not straightforward.
- 5. **Wastage:** There are a lot of wastages in the form of human and material resources.
- 6. **Fraud and Embezzlement:** There are a lot of fraudulent practices and embezzlement of public funds in public corporation by the board of directors and management staff.

EVALUATION

- 1. State the advantages and disadvantages of public corporation.
- 2. State the meaning of public enterprises.
- 3. Discuss the formation and management of a public corporation.

4. State 2 advantages of public corporations.
5. Outline 2 disadvantages of public corporation.
6. Discuss 3 reasons for establishing public corporations.



WEEK 2 & 3 – LIMITED COMPANIES

MEANING OF LIMITED COMPANIES

A limited liability company is a business owned by a number of people, operated by a legal person on behalf of its owners, with the usual motive of profit and with the provision that the owners are liable to the company only to the value of the share capital they individually hold. It is also referred to as a joint stock company and can be defined as an incorporated business organization established for profit making.

TYPES OF LIMITED LIABILITY COMPANIES

There are two types of limited liability companies, namely: private limited liability companies and public limited liability companies:

1. Private Limited Liability: A private limited liability company has the following features

- i. It restricts the right to transfer its shares
- ii. The shareholders liability is limited
- iii. The name of the company must end with “Limited”.
- iv. It limits the number of its members from two to fifty (2-50) persons
- v. It does not subscribe shares to the public

2. Public Limited Liability Company: A public limited liability company has the following features or characteristics

- i. Allows the public to subscribe to its share
- ii. Must have a minimum of seven persons but no maximum number prescribed.
- iii. Allows the shares to be transferred
- iv. It can sue and be sued in its own name
- v. It has limited liability – i.e. the liability of shareholders is limited to the amount contributed to the company.
- vi. It has perpetual existence – the death or withdrawal of some members will not affect the existence of the company.

FORMATION OF A LIMITED LIABILITY COMPANY.

The steps taken in the formation of a limited liability company are as follows:

- i. The first step involves getting the promoters. The promoters are individuals who conceived the idea of the company and undertook to fulfill the legal requirements for the venture.
- ii. The promoters are required to deduce a way of getting the initial capital bearing in mind the cost of formation, assets to be bought and working capital
- iii. The promoters should secure the services of a lawyer and an accountant to prepare certain documents to be filled with the Registrar of companies at the Corporation.
The documents are:
 - a. Memorandum of Association
 - b. Articles of Association
 - c. Statement of Nominal Capital
- iv. The documents are stamped and lodged with the registrar of companies.

MEMORANDUM OF ASSOCIATION

This is the document containing rules and regulations which govern the external relationship of a company with outsiders. It also serves as a constitution of the company and defines its objectives and powers in respect to its dealings with the outside world. It contains the following:

1. The name of the company ending with the word “Limited”/PLC.
2. The location/address of the registered office of the company.
3. The object clause of the company
4. The proposed amount of the authorized capital and the various shares into which it is divided.
5. A statement indicating that the liabilities of the shareholders are limited.
6. The names of the founders/promoters of the company and the number of shares taken up by them.
7. Status of the company that is public or private
8. The restriction on the power of the company if any.

ARTICLES OF ASSOCIATION

This is the document containing the regulations governing the internal management of the company’s affairs, duties, rights and powers of the members. It is also a document in which the internal regulations of Limited Liability Company are stated. The contents of an article of association include:

1. The method of issue of capital
2. Methods of holding meetings
3. Defined powers and duties of directors
4. The right of shareholders
5. How directors are to be elected
6. How auditors are to be remunerated
7. Method of sharing dividend
8. Transfer and forfeiture of shares
9. Method of audit
10. Method of settling dispute.
11. Procedure for winding up the company in the event of liquidation.

CERTIFICATE OF REGISTRATION OR INCORPORATION

This is the document which confers legal status on the company to commence business. It is issued by the registrar of companies as evidence that all the requirements of the Acts in respect to registration have been met by the company. It contains the following information:

1. The name of the company
2. The company registration number
3. A statement showing that the company has been registered in accordance with the law
4. The signature of the registrar

PROSPECTUS

This is a circular, or an invitation or advertisement made by a company to the public, inviting them to subscribe in a company's shares. It contains the following information:

- i. Brief history of the company.
- ii. Information about the present position and future prospect
- iii. The purpose of the issue
- iv. The amount of the capital offered for subscriptions
- v. The terms of the issue
- vi. Three to five years audited accounts
- vii. Profiles of the major shareholders

- viii. Profiles of the company's directors
- ix. Profiles of the company management team
- x. The accountant reports
- xi. Particulars projections for three to five years
- xii. Application form

CERTIFICATE OF TRADING

This is the document which allows the company to commence business activities. It is issue to a public limited liability company to commence operation after the company has been given the certificate of incorporation.

EVALUATION:

1. The maximum membership of a private company is (a) 2 (b) 10 (c) 50 (d) infinity
2. The document that guides a company's internal operation is called (a) Articles of Association (b) Memorandum of Association (c) cash book (d) prospectus
3. The document which allows the company to commence business activities is called ____ (a) Certificate of trading (b) prospectus (c) certificate of incorporation (d) Articles of Association
4. Write short notes on (i) Articles of Association (ii) Memorandum of Association (iii) prospectus
5. State four characteristics of a public limited liability company
6. State three contents of a memorandum of Association

ASSIGNMENT

1. State the advantages and disadvantages of private limited liability company and public limited liability company (or Joint Stock Company)

WEEK 4 & 6 – TRADE ASSOCIATION

DEFINITION TRADE ASSOCIATION: It is a group of people in the same type or line of trade in a country who have agreed to come together voluntarily, so as to promote and safeguard their trades as well as the interest of their members. Examples of trade association are: garri sellers association, tailors association, yam sellers association, association of butchers, taxi driver association. Association of Hotel Proprietors. The Nigeria Bar Association (NBA). Association of School Proprietors. The Nigeria Medical Association (NMA) and the Nigeria Manufacturers Association (NMA).

AIMS AND FUNCTIONS OF TRADE ASSOCIATION

1. To promote trade in their particular line
2. To safeguard members from any form of maltreatment from employers/government.
3. To disseminate necessary information to members on the latest methods of production.
4. To foster co-operation among members and settle disputes where and when necessary
5. To enforce discipline and punish erring members.

CHAMBERS OF COMMERCE:

A Chambers of Commerce is a voluntary organization of businessmen from different professions who are residing in an urban area or geographical zone of a country or district, who agree to come together to be able to protect their businesses and commercial interests. Example, Lagos Chamber of Commerce, London Chamber of Commerce, Ibadan Chamber of Commerce and Owerri Chamber of Commerce.

AIMS AND FUNCTIONS OF A CHAMBER OF COMMERCE:

1. It aims at promoting both home and foreign trade through organizing trade fairs and exhibitions.
2. Education of members through organized conferences, symposia and seminars.

3. Collect and disseminate information to their members about new developments and new fashions.
4. Acts as a link and watch dog between entrepreneurs and the government in that they fight strongly to protect commerce from any notorious laws.
5. Police members as to prevent them from any act that will be detrimental to the economy of their country or states.
6. Maintain museums or archives where products of both local and foreign entrepreneurs are kept for investors who are interested in them.
7. They organize trade fair and exhibition

DIFFERENCES BETWEEN CHAMBER OF COMMERCE AND TRADE ASSOCIATION

<i>S/N</i>	<i>CHAMBER OF COMMERCE</i>	<i>TRADE ASSOCIATION</i>
1.	1. It is not restricted to a particular business or trade.	It is restricted to members who are engaged in the same line of business.
2.	2. They have national and inter-national outlook.	They are regionally based.

CARTEL:

It is monopolistic type of association of independent producers, formed mainly for the main purpose of regulating prices by controlling output. Members of a cartel retain their separate identity and are independent. Cartel has its origin in Germany.

FEATURES OF A CARTEL:

1. Cartel is monopolistic in nature.
2. It is established by independent producers of similar product.
3. They allocate quotas to members.
4. They restrict output so as to force the price up

REASONS FOR FORMING A CARTEL

1. To keep up the price of their products
2. To ensure higher profit for members
3. To reduce waste by eliminating competition
4. To regulate output.

TRUST:

A trust is created when someone (called the settler) transfers some or all of his belongings in the form of money and or other property to another (called the trustee). The trustee manages the properties so transferred to derive income or remuneration. The trustee is not entitled to ownership of any part of the property. The income realized goes to the named beneficiaries.

REASONS FOR TRUST:

1. The death of the owner may cause the taking over of his properties by the trustees.
2. To bring the merging firm under central control.
3. To allow for fair sharing of assets among the beneficiaries.

CONSORTIUM:

A consortium is an association of firms that pool their resources together to finance a project they cannot embark upon individually, because of its complexity or the capital outlay. It is a temporary co-operation for a large venture. It is usually entered into by banks.

REASONS FOR FORMING A CONSORTIUM

1. To finance a project which requires large capital outlay?
2. When the project is complex in nature.

HOLDING COMPANY:

In holding, one company acquires the whole or large proportion of the issued share capital of other companies with the objective of actively controlling such companies. The parent company is called holding company while others whose shares are being acquired are its subsidiaries. The subsidiary companies will retain their identities and names.

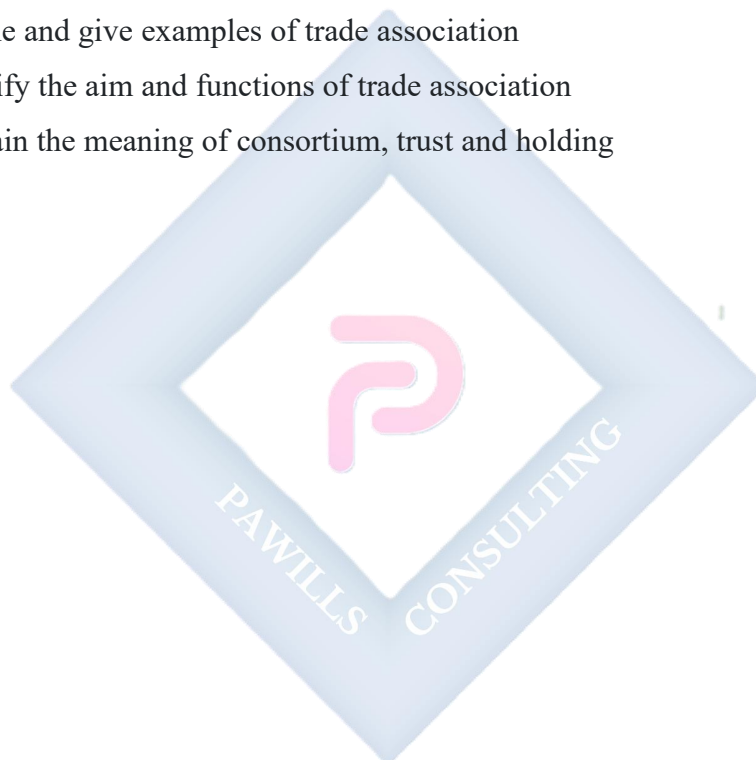
PRICE RINGS: A Price ring is an association of a number of competing firms who have agreed to operate a common price policy for their competing products. Price rings promotes uniform price but allows competition among the firms.

SYNDICATE: It is an association of organizations who work together for a common aim while retaining their independence.

MERGER/AMALGAMATION: Merger is the combination or coming together of two or more previously independent firms to form one large firm. The old firms will lose their identity in the new organization while the new firm can take a new name or adopt a combination of names of the old firms. Merger may arise from the desire to diversify or to buy out a competitor.

EVALUATION

1. Define and give examples of trade association
2. Identify the aim and functions of trade association
3. Explain the meaning of consortium, trust and holding



WEEK 8 & 9 – TRANSPORTATION

MEANING OF TRANSPORTATION

Transportation is the movement of goods and people from one place to another. It is used to move raw materials to the factories and finished goods to the consumers.

IMPORTANCE OF TRANSPORTATION IN COMMERCE

1. Transportation helps the manufacturers to get raw materials to their factories to their ultimate consumers.
2. It promotes the expansion of trade
3. It enables workers to get to their place of work faster
4. It improves out standards of living
5. It helps farmers to carry their products like yams, maize, groundnut etc. to the consumers.

TYPES/FORMS OF TRANSPORTATION:

The followings are the types of transportation in Nigeria:

1. Land transportation
2. Water transportation
3. Air transportation
4. Pipeline transportation

LAND TRANSPORTATION:

Land transportation is the most popular forms of carrying goods and people from one place to another. It makes it possible for people living in the rural areas to bring their farm products to the town and cities for sale. Land transportation is divided into:

Road and Rail transportation.

ADVANTAGES OF ROAD TRANSPORTATION

1. It is flexible
2. It can reach all parts of the country
3. It is easy to load and unload goods
4. It is cheap

DISADVANTAGES OF ROAD TRANSPORTATION

5. Road transportation creates congestion and traffic jams
6. It is prone to frequent accidents
7. There is high incidence of breakdown and delay
8. There is no fixed schedule for arrival and departure
9. It is unsuitable for fragile goods

RAIL TRANSPORTATION

ADVANTAGES OF RAIL TRANSPORTATION

1. Rail transportation is cheaper to carry too heavy and bulky goods over long distance
2. It has large capacity to carry heavy and bulky goods
3. Rail accidents are minimal
4. Bad weather does not affect rail transportation
5. It is ideal for mass transit

DISADVANTAGES OF RAIL TRANSPORTATION

1. Rail routes are fixed
2. Railways are expensive to construct and maintain
3. Individual cannot own train
4. It is not suitable for carrying perishable goods

ADVANTAGES OF WATER TRANSPORTATION

1. It is cheap
2. Not prone to accident
3. It has the largest capacity of carrying heavy and bulky consignments

DISADVANTAGES OF WATER TRANSPORTATION

1. It is expensive
2. Is not easily accessible for not living near seas
3. The operation is disturbed by bad weather
4. They are slow

ADVANTAGES OF AIR TRANSPORTATION

1. It is fast
2. It is comfortable
3. It must be suitable for carrying expensive and fragile goods.

DISADVANTAGES OF AIR TRANSPORTATION

1. Is expensive
2. Weather conditions occasionally and goods their designated airports
3. It occasionally suffers from a very serious and fatal accident.

DOCUMENTS INVOLVED IN TRANSPORTATION

1. **Bill of Lading:** The bill of lading is the most important document that is used in transporting goods. The legal definition of a bill of lading is a contract for the carriage of goods and a document of title to them. It provides any and all information that the carrier will need to transport the items.
2. **Freight Bill:** The freight bill is the carrier's invoice to the shipper for all the charges that the carrier has incurred. The carrier's freight bill will include the details of the shipment, the items being shipped, the consignee, the origin, and destination, as well as total weight and total charges.
3. **Air Waybill AWB:** An Air Waybill AWB is a non-negotiable transport document covering transport of cargo from airport to airport. The Air Waybill must name a consignee (who can be the buyer), and it should not be required to be issued "to order" and/or "to be endorsed" as it is not a title of property of the merchandise.
4. **FOB Terms of Sale:** Free on Board (FOB) terms of sales documents which party will be liable for the transportation costs, which party is in control of the movement of the goods, and when the title passes to the buyer.
5. **Cargo Insurance Certificate:** The Cargo Insurance Certificate is a document indicating the type and amount of insurance coverage in force on a particular shipment.).

TERMINOLOGIES ASSOCIATED WITH TRANSPORTATION

1. **Accessorial Charge:** Amount billed for additional, supplemental or special services provided, usually a flat fee. Examples include: Tarps, , layovers, detention, etc.
2. **Broker (freight):** Individual or company that serves as a liaison between another individual/company that needs shipping services and an authorized motor carrier..

3. **Consignee:** The person or location to whom the shipment is to be delivered whether by land, sea or air.
4. **Demurrage:** Charge by the carrier for excess retention of their equipment.
Typically caused by untimely loading or unloading.
6. **Freight Forwarder:** Facilitates shipping of goods for a third party. Similar to a 'Freight Broker' but typically handles international goods, is defined as a carrier and can be held responsible for claims and loss of cargo.

FACTORS THAT AFFECT/DETERMINE THE CHOICE OF TRANSPORTATION

1. **Cost involved:** The cost of means of transportation is not usually the same. It varies from one mode of transportation to another thus, cost is a determining factor in choice of transportation.
2. **Value of the goods:** Goods with high value are transported by air so as to achieve fast delivery and reduce pilferage of goods.
3. **Degree of urgency:** Goods that required urgent delivery are conveyed through fast means of transportation.
4. **Nature of goods:** The choice of transportation is also determined by the nature of the goods. Fragile goods are better transported by air while heavy and bulky goods are conveyed through the sea or rail.
5. **Speed:** Speed plays a vital role in determining the choice of transportation if goods and passengers. A businessman who hopes to take a delivery of goods within a shortest possible time, make use of air transportation.
7. **Available means of transportation:** The means of transportation available in an area also determines the choice of transportation to be used.
8. **Distance:** Distance can either be short or long. Road transport are better used to convey goods in a short distance while water and air transportation are suitable for long journey.

EVALUATION

1. Explain the importance of transportation documents in commerce.
2. What are the most important documents used in transportation in Nigeria?
3. What is the meaning of Air Waybill?

WEEK 10 – COMMUNICATION

MEANING OF COMMUNICATION

Communication is defined as the process by which information or messages are sent and received from one person to another. Communication is concerned with the conveyance of thoughts and ideas. Communication is the means by which people are linked together in an organization to achieve its set goals.

IMPORTANCE OF COMMUNICATION

1. It facilitates international trade
2. It facilitates payment
3. It ensures quick delivery of documents
4. It improves trade;
5. It ensures quick dissemination of information

FORMS OF COMMUNICATION

1. WRITTEN COMMUNICATION: - this occurs when people communicate in written form. It provides permanent records, as information are documented.

Advantages of Written Communication

- a. It provides permanent records
- b. The receiver can read the message as often as he likes
- c. It is more reliable than oral communication

Disadvantages of Written Communication

- a. It takes time to prepare
- b. It can be expensive to produce written messages
- c. It creates maintenance problem in terms of space

2. ORAL COMMUNICATION: - this occurs when people communicate in spoken language, face-to-face or over an electronic medium.

Advantages of Oral Communication

- a. It is very fast
- b. It provides immediate feedback
- c. It is easier to maintain secrecy

Disadvantages of Oral Communication

- a. It consumes precious time
- b. It lacks aid to human memory
- c. It can be distorted or misunderstood.

3. NON-VERBAL COMMUNICATION: - this is a method of communication which employs the use of symbols, facial expressions, pictures and gesticulations.

Advantages of Non-verbal Communication

- a. It saves time
- b. It solves the problem of linguistic
- c. It makes verbal communication more effective by supporting it with visual stimuli.

Disadvantages of Non-verbal Communication

- a. Only simple and limited message can be sent
- b. It can be easily misunderstood
- c. It is expensive when photographic films are used.

BARRIERS TO EFFECTIVE COMMUNICATION

- 1. Lack of Interest:** - this occurs when the content of the message is not of interest to the receiver
- 2. Information overload:** - this is a situation where a person is given too much information in too short a period of time
- 3. Lack of Knowledge:** - when the sender has inadequate knowledge of the needs of the audience, his communication cannot be effective
- 4. Misunderstanding:** - this could be that the message is not well decoded or understood
- 5. Distrust:** - the credibility of the sender will determine whether the receiver will rely on the message or not.

DEVELOPMENT OF COMMUNICATION

Throughout human history, communication has played an important role in man's life. Society will be difficult or impossible to sustain if the members could not communicate with one another. The earliest and perhaps the simplest means of communication is the human voice. Other devices that were developed by man over the years to transmit information beyond the range of human voice include drums, smoke signal, whistles and bells. While many of these devices are still in use in some

societies, information in modern world is transmitted by more efficient and sophisticated means. Two major inventions which have revolutionized communication are writing and electronics. The former has facilitated transmission of information through such media as Newspapers, Magazines, Books and Letters. While the latter has made possible wireless communication through Telegrams, Telex, Telephone, Radio, Television, etc. As a result of development of new and more rapid means of communication like the Satellite, the world is getting more 'smaller' and has become a global 'village'.

TRADITIONAL MEANS OF COMMUNICATION

There are various traditional means of conveying information in Nigeria. It varies from place to place. The major means are as follows: -

- a. Talking Drum
- b. Town Criers
- c. Palm Frond
- d. Blast of Gun
- e. Smoke signal

MODERN MEANS OF COMMUNICATION

- 1. Writing
- 2. Journals/newspaper/magazines
- 3. Telephone
- 5. Postal/Bill boards
- 6. Television and Radio
- 7. The Satellite
- 8. Internet
- 9. Fax
- 10. Email

COMMUNICATION SERVICE PROVIDERS

1. Nigerian Postal Service Limited (NIPOST)

Postal communication employs the services of the post office. In Nigeria, post offices are run by the Federal Government Agency called the Nigerian Postal Service Limited (NIPOST). NIPOST is a National carrier of all classes of mail items for delivery

within and outside Nigeria. It was established to provide postal and payment services to the people.

FUNCTIONS OF NIPOST

- i. As a means of communication.
- ii. As a means of payment

2. Nigerian Telecommunications Limited (NITEL)

Telecommunication is a technology used in sending signals, images and messages over long distance by telephone and satellite. In Nigeria, Telecommunication services is provided by Nigerian Telecommunications Limited (NITEL). NITEL operates on a commercial basis and is under the supervision of the Federal Ministry of Communication. Services provided by NITEL

- a. Telephone Services
- b. Telegram Services
- c. Telex Services
- d. Global System of Mobile Telecommunication

3. Courier Services

A Courier is a company whose job is to take important documents and parcels as fast as possible to their destination within or outside a town or country. Examples of courier companies in Nigeria are IMNL, DHL and UPS.

Functions of Courier Service

- i. Quick and safe delivery of valuables
- ii. Provision of services to rural areas
- iii. Provision of air cargo and shipment services
- iv. Safe keeping of valuable items
- v. Rendering of recorded delivery services

DIFFERENCES BETWEEN COURIER SERVICE AND POSTAL SERVICE

S/N	COURIER SERVICE	POSTAL SERVICE
1	It is faster and reliable;	It is not as fast and reliable as Courier service;

2	Its charges are higher;	Its charges are lower;
3	Its hours of service is longer;	Its hour of service is shorter;
4	Insurance cover is provided for documents and parcels;	Documents and parcels are not insured;
5	It provides door-to-door services;	It does not provide such services;

4. Internet

Interconnected network or internet refers to the convergence of computer system worldwide with the assistance of telecommunication link, which allows any computer with the telecommunication to exchange information with any suitably equipped computer. Internet Basics

1. www (world wide web)
2. Website
3. E-mail etc.
4. Video Conferencing
5. Electronic Fund Transfer

5. Communication Satellite

A satellite is an object that orbits or moves around another object. Satellite may be natural (such as planets and moons) or artificial such as the communication Satellite (COMSAT). A COMSAT is an artificial satellite stationed in space for the purpose of telecommunication.

Uses of application of COMSAT

6. Satellite Television: - fixed service satellite is used for broadcast feeds to and from television networks and local affiliate stations as well as being used for distance learning by schools, video conferencing and general commercial telecommunication
7. Satellite Radio: - it is used to offer audio services that include mobile services, which allow listeners to hear the same audio programming from any part of the world.

8. Satellite Internet: - a COMSAT technology has been used to link to the internet via broadband data connections which provide advantage to users who are located in very remote areas

